

As markets fall, fears of recession rise



SPENCER PLATT Getty Images

AMERICA'S TOP THREE stock indexes continued to slide Friday in New York, with the Dow recording its largest loss since the COVID-19 pandemic began. A bipartisan Senate bill proposes a check on Trump's tariffs.

California is ready to go its own way

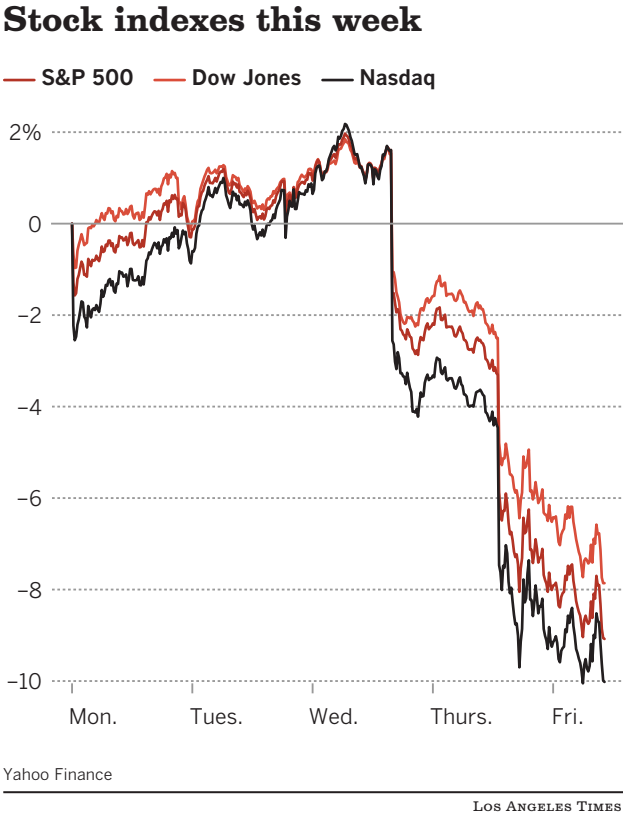
Newsom says state will work to expand trade and avoid global payback

BY JENNY JARVIE
AND PHIL WILLON

SACRAMENTO — Gov. Gavin Newsom announced Friday that California will look for ways to expand trade and persuade international partners to exempt the state from global payback as President Trump's sweeping round of tariffs sent U.S. and global financial markets tumbling.

"We're not scared to use our market power to fight back against the largest tax hike of our lifetime," Newsom posted Friday on the social media platform X. In a video, he noted that the 40 million residents of California live in "the tent pole of the U.S. economy" that represents 14% of the nation's GDP.

Newsom, a Democrat who has frequently sparred with Trump, said he had directed his administration to "look at new opportunities



to expand trade and to remind our trading partners around the globe that California remains a stable partner."

"California is not Washington, D.C.," Newsom told California's international partners in a news release. "The Golden State will remain a steady, reliable partner for generations to come, no matter the turbulence coming out of Washington."

California leads the nation in manufacturing and agriculture, and tariffs could adversely affect many sectors of the state's economy, from the tech industry to the ports. But it's unclear exactly how Newsom's efforts to carve out exemptions would work, the degree to which a state can forge such exceptions or what resources Newsom would invest in prioritizing new trade agreements.

A Newsom administration official, who requested [See California, A6]

President's tariffs spark bipartisan pushback in U.S., levy from China

BY MICHAEL WILNER

WASHINGTON — A second day of market devastation shook Washington on Friday, vanishing more than \$5 trillion in value in one of the largest 48-hour losses on record — an extraordinary rout caused not by pandemic, war, terrorism or bank failure, but by policy set by the American president.

The policy, announced by President Trump on Wednesday, would levy steep tariffs on nearly every nation in the world in the coming days, starting with a base tariff rate of 10% but climbing higher for some of the largest U.S. trading partners, including China, South Korea, Japan and the European Union.

The market drop has prompted a small but influential group of Republican senators to partner with Democrats in a nascent effort to wrest back control over tariff policy from Trump.

The Standard and Poor's 500, Nasdaq and the Dow Jones industrial average all reeled over the news from the morning bell to close. The Dow dropped 2,231.07 points, or 5.5%, in its largest drop since the pandemic started, following a 1,679-point drop the day prior. The S&P 500 fell 5.97% to 5,074.08, and the Nasdaq dropped 5.8%, to 15,587.79, entering bear market territory.

Before the markets opened Friday, China announced it would reciprocate with a 34% tariff on im-

ported U.S. goods. And as markets spiraled, the Federal Reserve chair, Jerome Powell, warned of "persistent" negative effects from the new trade policy.

"We face a highly uncertain outlook with elevated risks of both higher unemployment and higher inflation," Powell said Friday. "Tariffs are highly likely to generate at least a temporary rise in inflation."

Reacting to the markets, Treasury Secretary Scott Bessent told Tucker Carlson in an interview on Friday that "Wall Street's done great. It can continue doing well." But, he added, "it's Main Street's turn."

"This is transformational for the American economy, for the American worker and for the new Republican alignment," Bessent said. "I think this is the beginning of a process. We are going to reindustrialize. We have gone to a highly financialized economy — we have stopped making things, especially a lot of things that are relevant for national security."

J.P. Morgan increased its assessment of the risk of recession this year to 60%, up from a 40% chance it had published just days prior. And the World Trade Organization warned of deep trouble to come if Trump refuses to change course.

"While the situation is rapidly evolving, our initial estimates suggest that these measures, coupled with those introduced since the beginning of the year, could lead to an overall contraction," [See Tariffs, A6]

County plans to pay a record \$4 billion in sex abuse claims

The settlement, if approved, would be the largest of its kind in U.S. history.

BY REBECCA ELLIS

Los Angeles County plans to pay \$4 billion to settle nearly 7,000 claims of childhood sexual abuse that allegedly occurred inside its juvenile facilities and foster homes, dwarfing the largest sex abuse settlements in U.S. history.

The mammoth settlement, which still needs to be approved by both the county claims board and county supervisors, is a billion dollars more than what county officials had anticipated as the worst-case scenario to resolve a flurry of lawsuits — and far more than other organizations notorious for allowing unchecked sex abuse have paid victims.

The Boy Scouts of America, by comparison, agreed to pay \$2.46 billion. The Archdiocese of Los Angeles has paid out about \$1.5 billion for

alleged abuse at the hands of Catholic priests. Victims of USC gynecologist George Tyndall got \$1.1 billion. Michigan State University paid \$500 million to victims of team doctor Larry Nassar.

"This is the largest sex abuse settlement in history," said Adam Slater, a lead attorney in both the L.A. County and Boy Scouts settlements.

The unprecedented settlement arose from Assembly Bill 218, a 2020 state law that gave victims of childhood sexual abuse a new window to sue, even though the statute of limitations had expired.

Many California counties, which are responsible for the care of children in foster homes and juvenile halls, saw an uptick in lawsuits. For L.A. County, it was a deluge that still hasn't stopped.

Thousands of men and women came forward to say they had been molested or raped by probation officials decades ago while incarcerated as children in the county's sprawling network of juvenile halls and camps.

[See Settlement, A10]

Student's suits accuse colleges of anti-Asian bias

He was rejected by 16 schools but hired by Google as a freshman.

BY HANNAH FRY

Stanley Zhong had a 4.42 grade-point average, a nearly perfect SAT score, had bested adults in competitive coding competi-

tions and started his own electronic signing service all while still in high school.

When it came time to apply to colleges, Zhong's family wasn't overly concerned about his prospects, even amid an increasingly competitive admissions environment.

But, by the end of his senior year in Palo Alto in 2023, Zhong received rejection let-

ters from 16 of the 18 colleges where he applied, including five University of California campuses that his father had figured would be safety schools.

"It was surprise upon surprise upon surprise, and then it turned into frustration and, eventually, anger," his father, Nan Zhong, told The Times in a recent interview. "And I think both Stan-

ley and I felt the same way, that something is really funky here."

Less than a year later, as a college freshman in Texas, Zhong was hired by Google for a software engineering position that typically requires an advanced degree. Now, he and his father are suing several of the colleges that rejected him.

[See Zhong, A10]

One L.A. museum resisting Musk cuts



GENARO MOLINA Los Angeles Times

THE JAPANESE AMERICAN National Museum lost a \$175,000 grant as part of a scaling back of arts and humanities funding previously approved by Congress. It's part of nationwide cuts that may affect other local museums such as LACMA.

BY JESSICA GELT

The letter to the Japanese American National Museum on Friday morning from the National Endowment for the Humanities read in part: "Due to a change in the Administration's funding priorities, DOGE has made the decision to terminate NEH awards."

The Los Angeles museum had seen this coming. On Wednesday night, state humanities councils across the country had begun receiving similar letters stating that their NEH funding had been terminated, one day after Elon Musk's Department of Government Efficiency visited NEH headquarters. By Friday, the scope of the NEH cuts was crystallizing as arts [See Museums, A8]

S. Korea president officially ousted

Constitutional Court upholds impeachment of Yoon Suk Yeol, who faces insurrection charges. **WORLD, A3**

Judge orders deportee's return

Maryland man's mistaken transfer to Salvadoran prison was illegal, jurist finds. **NATION, A5**

Cuts to teacher training upheld

Supreme Court allows canceling of \$148 million in grants in the state. **CALIFORNIA, B1**

Weather

Lots of sun.
L.A. Basin: 78/54. **B8**



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